EXECUTIVE SUMMARY

Introduction

The City of Bacoor attained its Cityhood by virtue of Republic Act (RA) No. 10160 which was ratified through a plebiscite on June 23, 2012. The City is divided into two legislative districts, Bacoor West and Bacoor East, comprising 73 barangays. It is also a lone congressional district in the Province of Cavite. Prior to attaining cityhood, Bacoor was a first class municipality pursuant to Department Order No. 41-94 dated May 25, 1994.

The City of Bacoor, being the primary gateway of the Province of Cavite to Metro Manila, is full of potential in attracting visitors from the country's capital region. With urban conglomeration continuously moving southward of Metro Manila, the City is fast becoming a residential/commercial urban center as more and more people get to discover the City of Bacoor.

The key officials of the City and the number of its personnel complement are as follows:

a. Key Officials

City Mayor	: Hon. Lani Mercado - Revilla
City Vice-Mayor	: Hon. Catherine Sarino Evaristo

Members of the Sanggunian:

1. Hon. Miguel N. Bautista
2. Hon. Michael E. Solis
3. Hon. Rowena Bautista - Mendiola
4. Hon. Adrielito G. Gawaran
5. Hon. Victorio L. Guerrero, Jr.
6. Hon. Alejandro F. Gutierrez
7. Hon. Roberto L. Advincula
8. Hon. Hernando C. Gutierrez
9. Hon. Gaudencio P. Nolasco
10. Hon. Leandro A. de Leon
11. Hon. Alde Joselito F. Pagulayan
12. Hon. Reynaldo D. Palabrica
13. Hon. Mac Raven Espiritu

City Administrator	: Mr. Jerome V. Oliveros
City Budget Officer	: Ms. Elvinia S. Guerrero
City Accountant	: Mr. Jerry C. Macalatan
OIC - City Treasurer	: Atty. Jesson G. Labao
OIC - City General Services Officer	: Ms. Jocelyn Ricardo
City Assessor	: Mr. Jose Lito M. Mallare

b. No. of Personnel Complement

Permanent	485
Elected	16
Coterminous	27
Temporary/Casual/Job Order	1,870
Total	**2,398**

Scope of Audit and Audit Objectives

Financial and compliance audits were conducted on the accounts and operations of the City of Bacoor for CY 2020. The audit was conducted to ascertain the fairness of the presentation of the financial statements and compliance of the City with laws, rules and regulations governing government transactions.

Financial Highlights

The Comparative Financial Position and Results of Operations of the City for CY 2020 are summarized as follows:

	2020	2019	Increase/Decrease
Assets	₱ 5,723,487,128.55	₱ 5,470,472,161.71	₱ 253,014,966.84
Liabilities	1,555,322,548.30	1,505,151,944.56	50,170,603.74
Equity	4,168,164,580.25	3,965,320,217.15	202,844,363.10
Revenue	2,305,569,059.23	2,313,820,950.16	(8,251,890.93)
Current Operating Expenditures	2,198,325,078.13	1,785,375,370.31	412,949,707.82
Surplus from Current Operation	107,243,981.10	528,445,579.85	(421,201,598.75)
Transfers/Assistance and Subsidy	113,039,107.89	27,637,030.70	85,402,077.19
Other Non-Operating Income (Loss)	(574,126.72)	0.00	(574,126.72)
Surplus	219,708,962.27	556,082,610.55	(336,373,648.28)

Audit Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements due to the following observations:

1. The City was not able to reconcile the difference of ₱444,632,007.23 between the General Ledger (GL) balance of the Property, Plant and Equipment (PPE) accounts and the Report on the Physical Count of PPE (RPCPPE) due to the inability of the Accounting and General Services Offices to maintain a complete and updated subsidiary ledgers for each group of PPE and Property Cards, respectively, contrary to Section 269 of Government Accounting Manual (GAM) for Local Government Units (LGUs), Volume I, thereby putting in doubt the reliability of the PPE accounts with carrying value of ₱3,338,878,858.33 as of December 31, 2020, excluding Construction in Progress.

2. The reliability of Construction in Progress – Building and Other Structures account with balance of ₱124,498,646.53, which was outstanding since December 31, 2018, could not be ascertained due to absence of details pertaining to this account, contrary to Section 111 of Presidential Decree (PD) No. 1445 and COA Circular No. 2015-009 dated December 1, 2015.

3. Public Infrastructure Assets of the City with total value of ₱661,059,371.94 were not provided with depreciation due to absence of subsidiary records for these accounts, contrary to International Public Sector Accounting Standard(IPSAS) 17 and pertinent provisions of the Government Accounting Manual (GAM) for Local Government Units (LGUs), Volume I, thus overstating the Infrastructure Assets and Government Equity accounts by an amount equivalent to the unrecorded depreciation expenses.

4. The Other Supplies and Material Inventory account in the Special Education Fund was overstated by ₱52,970,748.00 while the Other Supplies and Materials Expense account was understated by the same amount, due to improper recording of the receipts and issuances of inventory items, contrary to Sections 175 and 190 of the GAM for LGUs, Volume I.

For the above-cited deficiencies, we recommended that the City Mayor direct:

1.a. the Accounting Office to update and maintain the PPE Ledger Cards indicating therein the details of every property acquired by the City, such as the acquisition, description, custody, estimated useful life, depreciation, impairment loss, disposal and other information about the asset;

1.b. the General Services Office to determine the composition of Land Improvements reported in lump-sum, report the results of inventory taking for buildings, structures and public infrastructures in the prescribed RPCPPE and to group the physically counted PPE according to type or category of assets;

1.c. the General Services Office to update and maintain the Property Cards according to account classification; and

1.d. the Accounting and General Services Offices to reconcile their respective PPE records on a regular basis.

2. the City Accountant to exert effort to retrieve records and analyze the composition and details of Construction in Progress - Buildings and Other Structure account with year-end balance of ₱124,498,646.53 and make the appropriate adjustments on the books, if necessary;

3. the City Accountant to -

   - retrieve records pertaining to the acquisition of the Public Infrastructures totalling ₱661,059,371.94;

   - prepare and maintain the required Local Road Network Ledger Card (LRNLC) and Other Public Infrastructure Ledger Card (OPILC) for the aforementioned accounts; and

- compute and journalize the depreciation of the subject assets from the time of acquisition to present.

4. the City Accountant to –

- draw Journal Voucher to adjust the overstatement of Other Supplies and Materials Inventory and Government Equity accounts; and

- be consistent in recording Inventory items by treating these as Assets upon acquisition and to recognize the Expense portion upon the issuances of Inventories.

The other observations that need immediate attention and action are as follows:

1. Cash balance of ₱78,991,942.14 in the Special Education Fund (SEF) as of year-end was not sufficient to cover the current liabilities, thus, resulted in cash deficit of ₱46,292,826.79 attributable to the decrease in the current year's total income and the increase in current operating expenses and capital expenditures, compared with last year's, contrary to Section 337 of Republic Act (RA) No. 7160.

   We recommended that the City Budget Officer, Accountant and Treasurer exercise diligence, prudence and proper control in the disposition of government funds by limiting the expenditures within the total income realized during the year to avoid incurrence of cash overdraft. It is likewise recommended that they take concrete and effective measures to cover the cash deficit with the collections in the ensuing year.

2. The City disbursed a total of ₱292,414,275.46 for purchases of goods and services for COVID-19 operations under emergency procurement authorized under RA No. 11469 without compliance with the documentary requirements provided under Item Nos. 4.1 and 4.3 of Government Procurement Policy Board (GPPB) Circular No. 01-2020 dated April 6, 2020.

   We recommended that the City Mayor require the City Accountant to coordinate with responsible officials to facilitate the immediate submission to the Commission on Audit of the lacking documents and/or correction of deficiencies noted in audit to prevent suspension and/or disallowance of the transactions. Henceforth, ensure that all required supporting documents are attached to the disbursement vouchers before payment to facilitate the review of the validity and propriety of the disbursement.

3. The manner of recording and reporting the purchase and distribution of the welfare goods amounting to ₱156,063,376.42 was not in accordance with Commission on Audit (COA) Circular Nos. 2014-002 and 2015-009, thus proper accounting of their receipts, issuances and balances was not facilitated.

   We recommended that the City Mayor direct the:

   - City Accountant to properly record the purchases of welfare goods under the account Welfare Goods for Distribution and the distributed portion to Welfare Goods Expenses. He should also maintain Supplies Ledger Cards for all welfare goods; and

- City Disaster Risk Reduction Management Officer/City General Services Officer to maintain Stock Cards to record the purchases and issuances of welfare goods. The issuances of these items should be supported with the Requisition Issue Slip (RIS) and reported monthly to the Accounting Office thru the preparation and submission of monthly Report of Supplies and Materials Issued (RSMI) as basis of the City Accountant in recording issued items under account Welfare Goods Expenses.

4. The shares of the Provincial Government of Cavite from the basic real property and special education taxes collected by the City of Bacoor during the year, but which were already due or had accrued prior to cityhood, were not recognized in the books, contrary to Section 111 of PD No. 1445 and Sections 271 and 272 of the Local Government Code, thus understating the Due to LGUs account and overstating the Government Equity account, both in the General and Special Education Funds, by ₱1,734,655.15 as of year-end.

   We recommended that the City Mayor require the City Accountant to draw Journal Voucher to adjust the understatement in Due to LGUs account and the overstatement of the Government Equity both in General and Special Education Funds.

   We also recommended that the City Accountant properly recognize the provincial share from the collections of basic real property and special education taxes and penalties thereon, which had become past due prior to its cityhood, in the books of accounts using the account Due to LGUs and maintain the corresponding subsidiary ledger for the Provincial account.

5. The cashbooks for Cash in Local Treasury maintained by the City Treasurer were not always updated, have no running balances, not closed, ruled and certified at the end of each month and not reconciled with Accounting records, contrary to Section 63 of Local Treasury Operations Manual, thus the balances of Cash in Local Treasury could not be easily determined and errors in recording, if any, could not be promptly corrected, thereby affecting the reliability of the recorded transactions and defeated the purpose of maintaining cashbooks.

   We recommended that the City Mayor require the OIC, City Treasurer to properly maintain the cashbooks by adopting the following suggested measures:

   a. Determine the running balance of the cashbook, record transactions daily and reconcile the balance with the actual cash on hand for deposit at the end of each day;

   b. Close the cashbooks at the end of the month by double-ruling below the last entries and accomplish the prescribed certification; and

   c. Reconcile the cashbook balance with the accounting records and to take up immediately the necessary corrections in the books requiring adjustments.

6. Disposal of various unserviceable motor vehicles of the City with carrying value of ₱3,403,409.10 was not undertaken. This is contrary to Section 79 of PD No. 1445 and Section 167 of the Rules and Regulations on Supply and Property Management in Local Government Units prescribed under COA Circular No. 92-386 dated October 20,

1992, thus exposing them to further deterioration and the likelihood of loss or reduction of income from sale of scrap.

We recommended that the City Mayor instruct the General Services Office (GSO) to expedite the disposal of the unserviceable motor vehicles with total carrying value of ₱3,403,409.10 in accordance with the aforementioned regulations to halt further deterioration and reduction of their economic values.

Upon disposal, the City Accountant should draw a Journal Entry Voucher (JEV) to drop from the books of accounts the cost of the unserviceable motor vehicles.

The above observations and recommendations were discussed with the concerned City officials and staff through the exit conference conducted on April 21, 2021. Management's views and comments were incorporated in the report, where appropriate.

Summary of Total Suspensions, Disallowances and Charges

There were no unsettled audit suspensions, disallowances and charges as of December 31, 2020.

Status of Implementation of Prior Year's Audit Recommendations

Of the 22 audit recommendations contained in the 2019 Annual Audit Report, 12 were fully implemented, eight were partially implemented and the remaining two were not implemented.